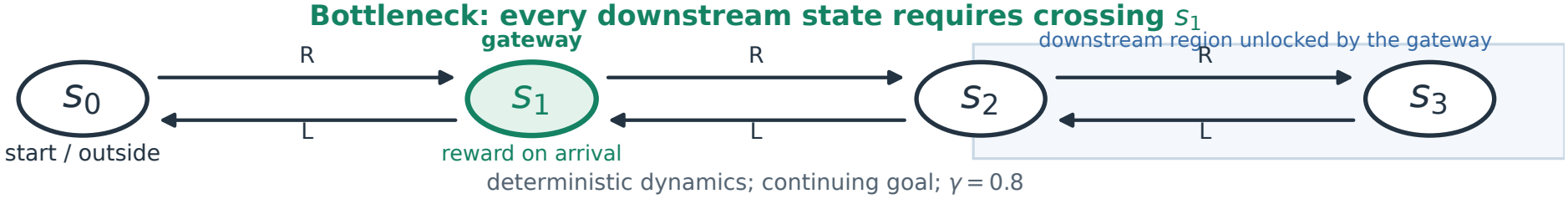
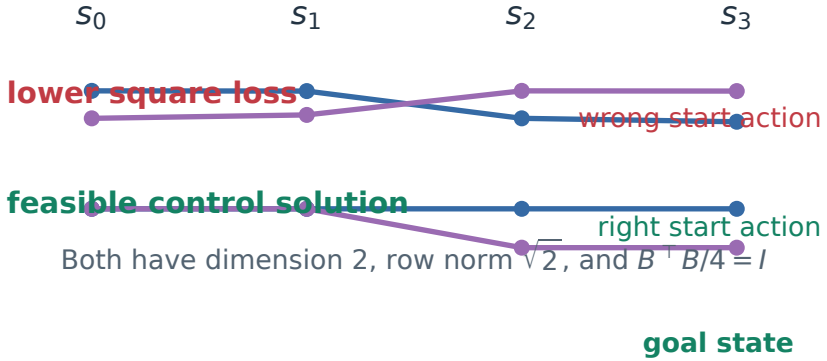
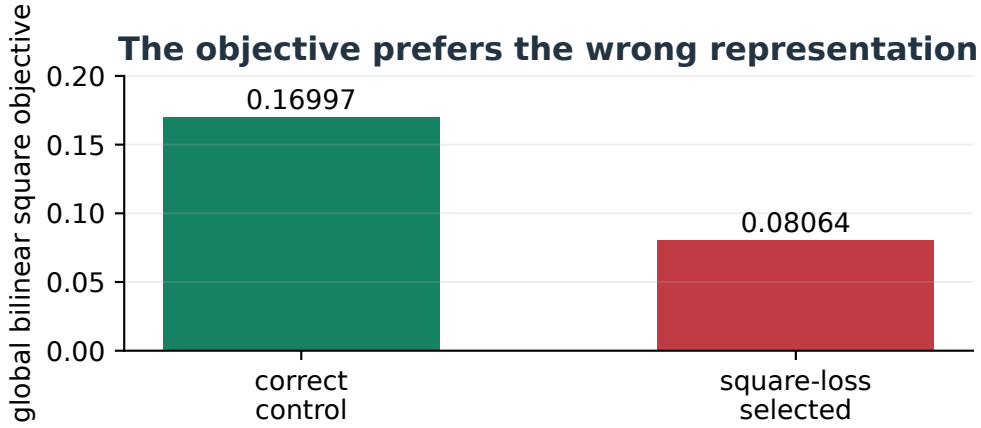
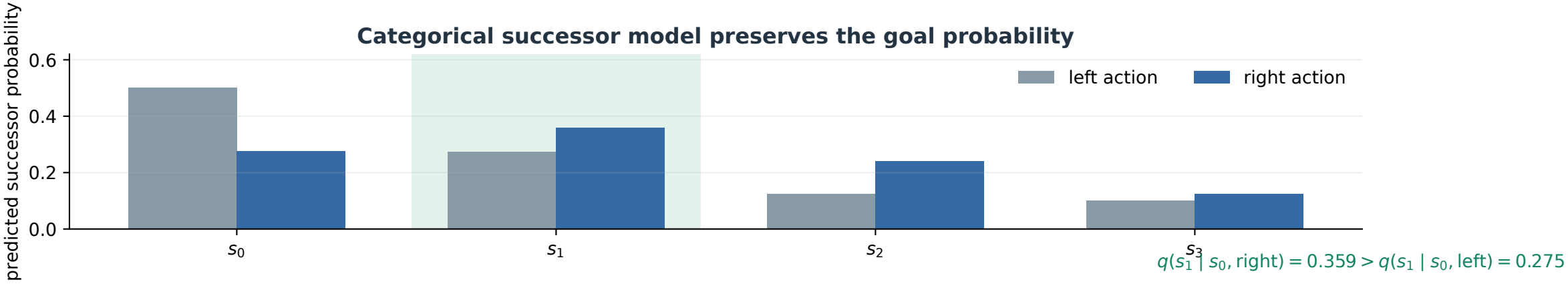
Didactic-2: failure of the bilinear square-loss objective









A correct normalized rank-2 solution exists, but the global square-loss optimum reverses the gateway action and blocks the downstream region.